

26TRCV00839 26TRCV00839

County: los-angeles

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Case Number: 26TRCV00839 Hearing Date: August 13, 2026 Dept: E

Superior Court of California

County of Los Angeles

Southwest District

Torrance Dept. E

ERNESTO

C VALENZUELA, an

individual

Plaintiff,

Case No.:

26TRCV00839

vs.

[Tentative]

Granted

HYUNDAI

MOTOR AMERICA; and DOES 1 through 50, inclusive

Defendants.

Hearing

Date: August
13, 2026

Moving Parties: Defendant Hyundai Motor America

Responding

Party: Plaintiff Ernesto C.
Valenzuela

HEARING: Motion to Compel
Arbitration

The
Court considered the moving, opposition, and reply papers.

RULING

The Court grants the Motion to Compel
Arbitration.

BACKGROUND

On March 9, 2026, Plaintiff Ernesto
C. Valenzuela filed the Complaint against Defendant Hyundai Motor America,
alleging causes of action for violations of the Song-Beverly Act.

On April 10, 2026, Defendant filed
the Motion to Compel Arbitration.

On August 3, 2026, Plaintiff filed
the Opposition.

On August 6, 2026, Defendant filed
the Reply.

JUDICIAL

NOTICE

The Court may take judicial notice of records of (1) any court of this state or (2) any court of record of the United States or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court may also take judicial notice of "Official acts of the legislative, executive, and judicial departments of the United States and of any state of the United States." (Evid. Code § 452 subd. (c).)

Defendant requests that the Court take judicial notice of the Complaint. Plaintiff has not objected to this request. The Court grants this request pursuant to Evidence Code section 452 subdivision (d).

LEGAL STANDARD

The Federal Arbitration Act (the "FAA") applies in both federal and state courts to contracts evidencing a transaction involving interstate commerce. (9 U.S.C. §§ 1-2; *Southland Corp. v. Keating* (1984) 465 U.S. 1, 12.) The FAA preempts conflicting state law. (*Preston v. Ferrer* (2008) 552 U.S. 346, 353.) The party that contends the FAA applies bears the burden to demonstrate that the arbitration agreement is in a "contract evidencing a transaction involving commerce." (*Woolls v. Super. Ct.* (2005) 127 Cal.App.4th 197, 211.)

Under Code of Civil Procedure section 1281.2, "[o]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement."

DISCUSSION

The instant case arises out of the purchase of a 2024 Hyundai Santa Fe. The warranty booklet included with the car also included an arbitration agreement. Defendant moves to compel arbitration based on the agreement in the warranty booklet.

Agreement to Arbitrate:

PLEASE READ THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS THIS SECTION DOES NOT PRECLUDE YOU FROM FIRST PURSUING ALTERNATIVE DISPUTE RESOLUTION THROUGH BBB AUTO LINE AS DESCRIBED IN THE "ALTERNATIVE DISPUTE RESOLUTION" PROVISION IN SECTION 3 OF THIS HANDBOOK.

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

We will pay all fees for any arbitration except for the initial filing fee of \$200. The arbitration will be held in the city or county of your residence. To learn more about arbitration, including the applicable rules and how to commence arbitration, please contact:

AAA at
www.adr.org; 800-778-7879.

This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us (including our affiliated companies) relating to or arising out of your vehicle purchase, use or performance of your vehicle, or the vehicle warranty subject to arbitration to the maximum extent permitted by law. The arbitrator (and not a court) shall decide all issues of interpretation, scope, and application of this agreement.

In any arbitration, the arbitrator shall be bound by the terms of this agreement and shall follow the applicable law. The arbitrator shall not have the power to commit manifest errors of law, and any award rendered by the arbitrator that employs a manifest error of law may be vacated or corrected by a court of competent jurisdiction for such error. The arbitrator may only resolve disputes between you and us and may not consolidate claims without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others, or issue any award or remedy in arbitration against or on behalf of anyone who is not a named party to the arbitration, as permitted by law. In other words, you and we may bring claims against the other only in your or our individual capacity, and not as a plaintiff or class member in any class or representative action to the maximum extent permitted by law. You and we acknowledge and agree that, to the fullest extent permitted by law, we are each waiving the right to participate as a plaintiff or class member in any purported class action lawsuit, class-wide arbitration, private attorney general action, or any other representative proceeding. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief or remedy, then that claim or remedy (and only that claim or remedy) must be brought in court and must be stayed pending arbitration of the arbitrable claims and remedies. If a court or arbitrator decides that any part of this agreement cannot be enforced as to a particular request for public injunctive relief, then that request for public injunctive relief (and only that request for public injunctive relief) must be brought in court and must be stayed pending arbitration of the arbitrable remedies. If arbitration is elected by either party, the parties collectively agree that they waive their right to a jury trial.

Notwithstanding the above, either you or we may file a lawsuit in small claims court for any claims that otherwise require binding arbitration, if the small claims court has jurisdiction. In addition, either you or we may invoke any AAA Consumer Arbitration Rules that allow you or we to have a small claims court decide any claims that otherwise require binding arbitration. This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16. Judgment upon any award in arbitration may be entered in any court having jurisdiction.

IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA,

YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Ameripour Decl., Exhibit 2.)

Existence of Valid Arbitration Agreement and Claims Covered by Arbitration Clause

“[T]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence...” (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.) “In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties’ intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made.” (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353.) “To determine whether a contractual arbitration clause requires arbitration of a particular controversy, the controversy is first identified, and the issue is whether that controversy is within the scope of the contractual arbitration clause.” (Titolo v. Cano (2007) 157 Cal.App.4th 310, 316.) “Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.” (California Correctional Peace Officers Ass’n v. State (2006) 142 Cal.App.4th 198, 205.)

“[A] party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (Giuliano, supra, 149 Cal.App.4th at p. 1284.)

“The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence: Because the existence of the agreement is a statutory prerequisite to granting the [motion or] petition, the [party seeking arbitration] bears the burden of proving its existence by a preponderance of the evidence.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.) However, the burden is a three-step framework. “First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion.” (Ibid.) “For this step, it is not necessary to follow the normal procedures of document authentication.” (Ibid.)

“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (Ibid.) “The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.)

Last, “if the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.)

Plaintiff argues that no valid arbitration agreement exists and that Defendant, which bears the burden of proving a valid, written agreement to arbitrate by a preponderance of the evidence, cannot carry that burden. Because the existence of an agreement to arbitrate is governed by state contract law, the Federal Arbitration Act does not compel enforcement absent a valid agreement under California law. (First Options of Chicago, Inc. v. Kaplan (1995) 514 U.S. 938, 944.)

Plaintiff first contends that neither provision binds him because both lack consent. Contract

formation requires mutual assent, measured objectively by the parties' outward manifestations. (Harris v. TAP Worldwide, LLC (2016) 248 Cal.App.4th 373, 381.) That standard does not apply, however, where the offeree does not know a proposal has been made, so an offeree is not bound by inconspicuous provisions of which it was unaware in a document whose contractual nature is not obvious, a principle that applies with particular force to arbitration. (Knutson v. Sirius XM Satellite Radio, Inc. (9th Cir. 2014) 771 F.3d 559, 566.) On that basis, courts have refused to enforce arbitration provisions buried in purchase forms, rental agreements, subscription arrangements, and warranty booklets of which the party was unaware. (Domestic Linen Supply Co., Inc. v. LJT Flores, Inc. (2020) 58 Cal.App.5th 180, 185.) Plaintiff asserts the same facts here, contending that South Bay Hyundai never explained that the Owner's Handbook and Warranty Information booklet contained an arbitration provision, that he never acknowledged receipt of the booklet, and that it was placed in the Vehicle before the lease and has remained there since. Because he neither read nor was shown the provision, Plaintiff argues he did not consent, and either provision fails for lack of mutual assent.

Plaintiff next

argues that the warranty, though quasi-contractual, is not a contract capable of binding him. Where a party did not know it was entering a contract, both the contract and its arbitration clause are void for lack of mutual assent. (Esparza v. Sand & Sea, Inc. (2016) 2 Cal.App.5th 781, 789-790.) California law does not treat manufacturer warranties as part of the sales contract and never has. (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1334-1336.) A warranty binds the seller as an express representation of what it agreed to sell but imposes no binding obligation on the buyer beyond allowing a reasonable opportunity to repair. (Norcia v. Samsung Telecommunications America, LLC (9th Cir. 2017) 845 F.3d 1279, 1288.) Because the warranty here does not bind Plaintiff, he argues that, as in Esparza, there is no underlying contract and the arbitration provision is void for lack of mutual assent.

In reply, Defendant

argues that it has established the existence of an agreement to arbitrate and that the Warranty's provision is enforceable. On a petition to compel arbitration, the petitioner need not authenticate the agreement or introduce it into evidence, because the court makes only a preliminary finding of the agreement's existence, and once the petitioner alleges the agreement exists,

the burden shifts to the respondent to prove its falsity. (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.) Defendant contends it alleged the agreement in its moving papers and that Plaintiff's declaration confirms the Vehicle came with a copy of the Warranty. (Valenzuela Decl., ¶ 8.)

Defendant contends

that Plaintiff's own Complaint establishes mutual assent, because Plaintiff sued for breach of the express written warranty and relied on the Warranty as the foundation of the action. A party is estopped from contradicting its own pleadings and may not use a contract when it is advantageous and then avoid its arbitration clause. (Sholly v. Annan (9th Cir. 1971) 450 F.2d 74, 76.) A Song-Beverly claim exists only because the manufacturer issued an express warranty, so Plaintiff cannot invoke the Warranty and Defendant's obligations under it while denying assent to its terms. (Cummins, Inc. v. Superior Court (2005) 36 Cal.4th 478, 484.) Defendant adds that the Warranty states in bold that a California lessee agrees to the binding arbitration provision by using the Vehicle or accepting warranty benefits.

Defendant also argues

the absence of a signature is no bar because a party is estopped from relying on it while enforcing other terms of the same contract, and a nonsignatory who receives a direct benefit is estopped from refusing to arbitrate. (Boucher v. Alliance Title Co., Inc. (2005) 127 Cal.App.4th 262, 269.)

Voluntary acceptance of a transaction's benefit is consent to its obligations, and an offeree who knows an offer has been made may accept its terms through conduct. (Windsor Mills, Inc. v.

Collins & Aikman Corp. (1972) 25 Cal.App.3d 987, 992.) The controlling equitable estoppel inquiry is whether the plaintiff seeks to enforce beneficial contractual terms while avoiding its own agreement to arbitrate. (Ford Motor Warranty Cases (2025) No. S279969.) Whether Plaintiff read the arbitration terms is irrelevant, and Defendant disputes that the provision is buried, noting it opens the Hyundai Warranty Information section and appears in the table of contents.

Finally, Defendant

argues Norcia is inapposite because that plaintiff brought no warranty claims, so contract law rather than warranty law governed, and the court noted a warranty like this one could require arbitration. (Norcia, supra, 845 F.3d 1279, 1284, 1288, fn. 3.) Because Plaintiff's claims rest

on the Warranty, Defendant contends mutual assent is conceded, and district courts have compelled arbitration on the same facts.

In *Kostandian v.*

American Honda Motor Co., Inc. (2026) 120 Cal.App.5th 872, the Court found that the defendant met its initial burden by presenting a copy of the warranty booklet, reciting its terms verbatim, and providing the necessary allegations, which shifted the burden to the plaintiff, who then produced no evidence. (Id. at 882.) While the Court mentioned the signed delivery sheet, it was not the basis for its finding that the defendant had met its initial burden. (Ibid.)

Here, Defendant has provided the warranty booklet included with the car that included the arbitration agreement. Defendant can meet its initial burden by merely reciting the terms of the arbitration agreement. (*Gamboa*, supra, 72 Cal.App.5th 158, 165.) Thus, while there was a signed delivery sheet in *Kostandian*, one is not required for Defendant to pass its initial burden. (*Kostandian*, supra, 120 Cal.App.5th 872, 882.) Thus, the Court finds that Defendant has met its initial burden. In response, Plaintiff has provided a declaration stating that he was never told about the arbitration agreement and never signed any agreement. (*Valenzuela Decl.* ¶ 5-7.) However, the Declaration states that the warranty booklet was delivered with the car in its glovebox. (*Valenzuela Decl.* ¶ 8.) Furthermore, the Court has found that warranties in manuals become part of the bargain when packaged with the product, even if not read. (*Weinstat v. Dentsply Internat., Inc.* (2010) 180 Cal.App.4th 1213, 1228-1229.) Plaintiff's reliance on *Norcia* does not change the result. *Norcia* involved a nonwarranty dispute and expressly reserved whether a plaintiff who sues on the warranty may be compelled to arbitrate claims arising out of that warranty. (*Norcia*, supra, 845 F.3d 1279, 1287-1288.) Here, Plaintiff sues for breach of the express written warranty contained in the same booklet as the arbitration provision, the situation *Norcia* left open and *Kostandian* resolved in favor of arbitration. (*Kostandian*, 120 Cal.App.5th 872, 883-884.) Thus, because Plaintiff received the booklet with the vehicle and now sues to enforce the warranty it contains, Plaintiff has not met his burden of showing a lack of assent.

Unconscionability

"The

burden of proving unconscionability rests upon the party asserting it.” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126.) “[U]nconscionability has both a “procedural” and a “substantive” element,’ the former focusing on ‘oppression’ or ‘surprise’ due to unequal bargaining power, the latter on ‘overly harsh’ or ‘one-sided’ results.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th at p. 114 [citations omitted].) “As a matter of general contract law, California courts require both procedural and substantive unconscionability to invalidate a contract.” (Torrecillas v. Fitness International, LLC (2020) 52 Cal.App.5th 485, 492.) California courts “apply a sliding scale, meaning if one of these elements is present to only a lesser degree, then more evidence of the other element is required to establish overall unconscionability. In other words, if there is little of one, there must be a lot of the other.” (Ibid.)

Plaintiff also

argues that the arbitration agreement is unconscionable. However, the Court has reviewed the portions of the contract Plaintiff points to as unconscionable and finds that they are not so unfair as to shock the conscience.

Therefore, the

Court grants the Motion to Compel Arbitration.